ALBERTSCHOOL

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Company Valuation & Strategic Assessment

Company Profile

Global aerospace leader set for stable growth, driven by constant innovation & disruptive technology

Description

Airbus SE is a global leader in aerospace, defense, and space created in 1970. It designs, manufactures, and delivers commercial aircraft, helicopters, satellites, and military platforms. Headquartered in the Netherlands, the group leads the market with its A320 family and drives innovation through **sustainability** and **decarbonization.**

Executive Leadership

Guillaume Faury, CEO (55yo, 25y+ XP)
Polytechnique & Supaero engineering background. Strong leadership across different Airbus divisions.

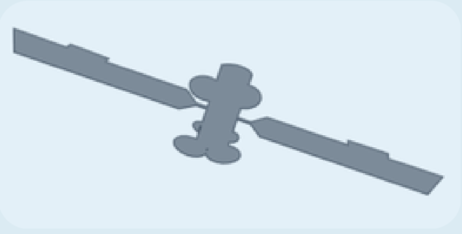
Thomas Toepfer*, *PhD, CFO (51yo, 20y+ XP)
Deep experience in industrial finance; ex-Covestro, ex-McKinsey, ex-Karstadt.

Sabine Klauke, CTO (49yo, 20y+ XP)
Strong expertise in aerospace engineering; ex-Dassault Systèmes, ex-A380 & A350 team leader.

Airbus SE - Core Activities

Airbus (Commercial Aircrafts)

Airbus Helicopters



Airbus Space & Defense

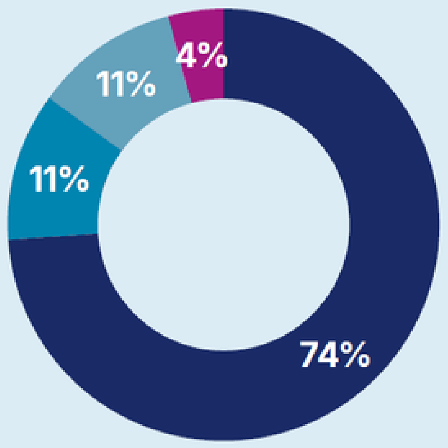
Flagship Products & Innovations

Airbus A320 Family

H125 (formerly AS350 Écureuil)

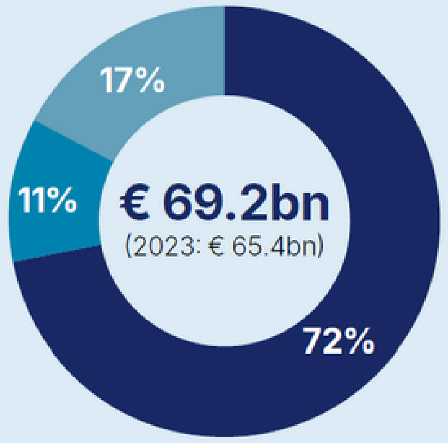
A400M Atlas

Shareholding structure



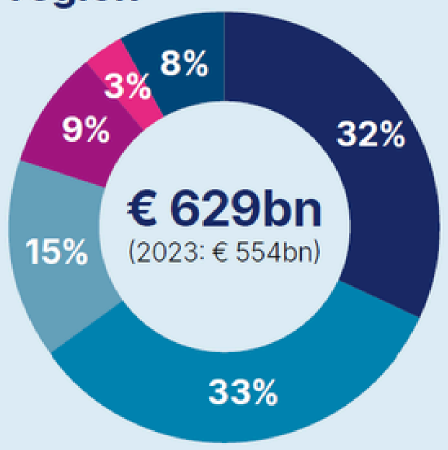
- Free float[1]
- SOGEPA (French State)
- GZBV (German State)
- SEPI (Spanish State)

External revenue split



- Airbus
- Airbus Helicopters
- Airbus Defence and Space

Order book in value by region



- Europe
- Asia Pacific
- North America
- Middle East
- Latin America
- Others

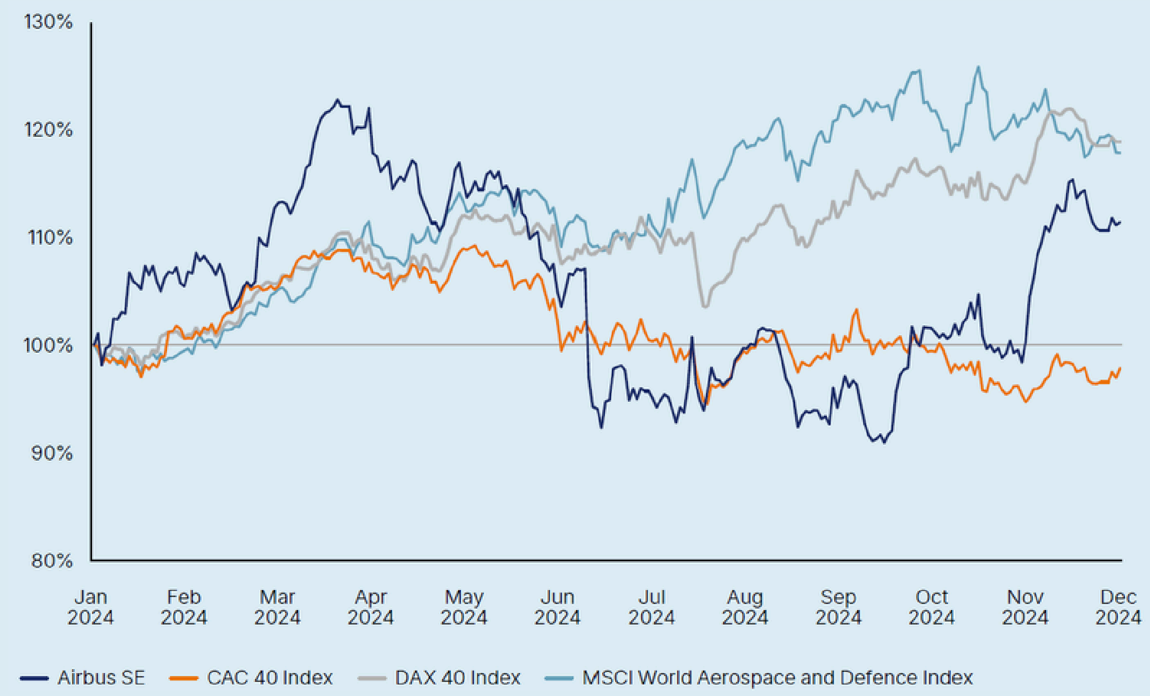
Key figures & Share Price evolution 2024

Revenues (€ million)
69,230
(2023: 65,446)

EBIT Adjusted (€ million)
5,354
(2023: 5,838)

Reported earnings per share[1] (€)
5.36
(2023: 4.80)

Order intake (€ million)
103,509
(2023: 186,493)

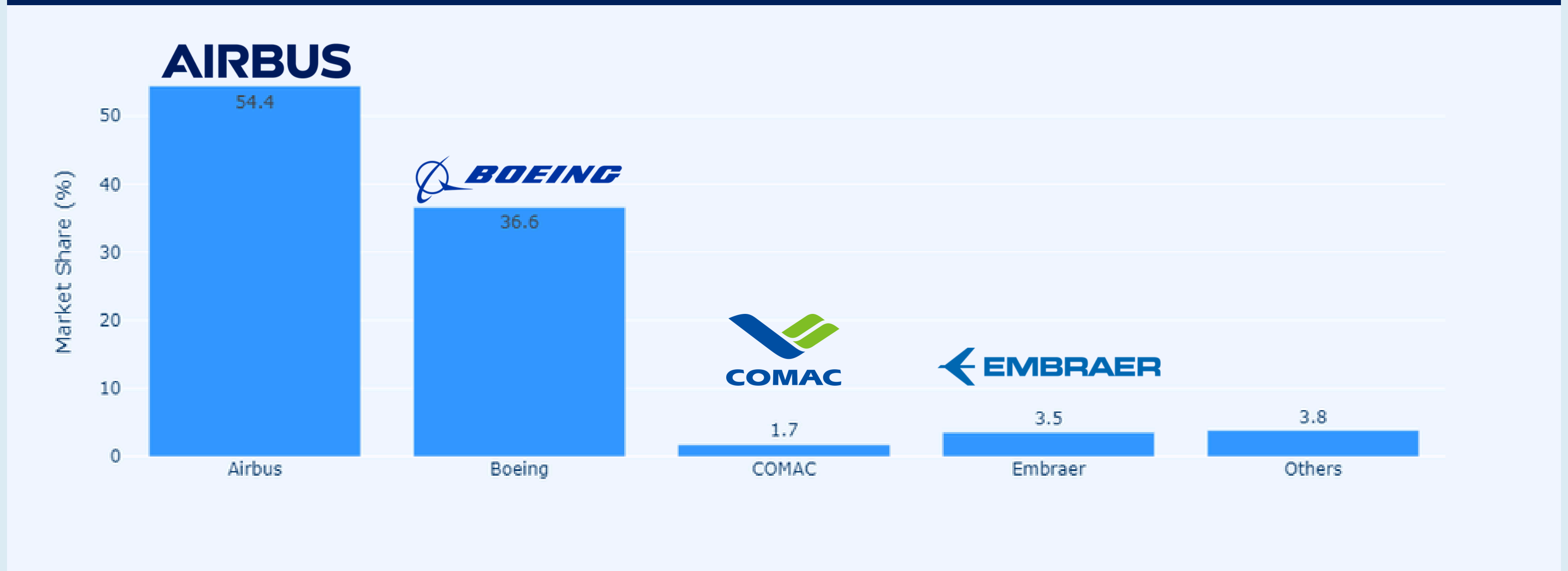


Sources: Company website; Annual report 2024
Note: 1 Includes shares held by the company itself (0.55%)

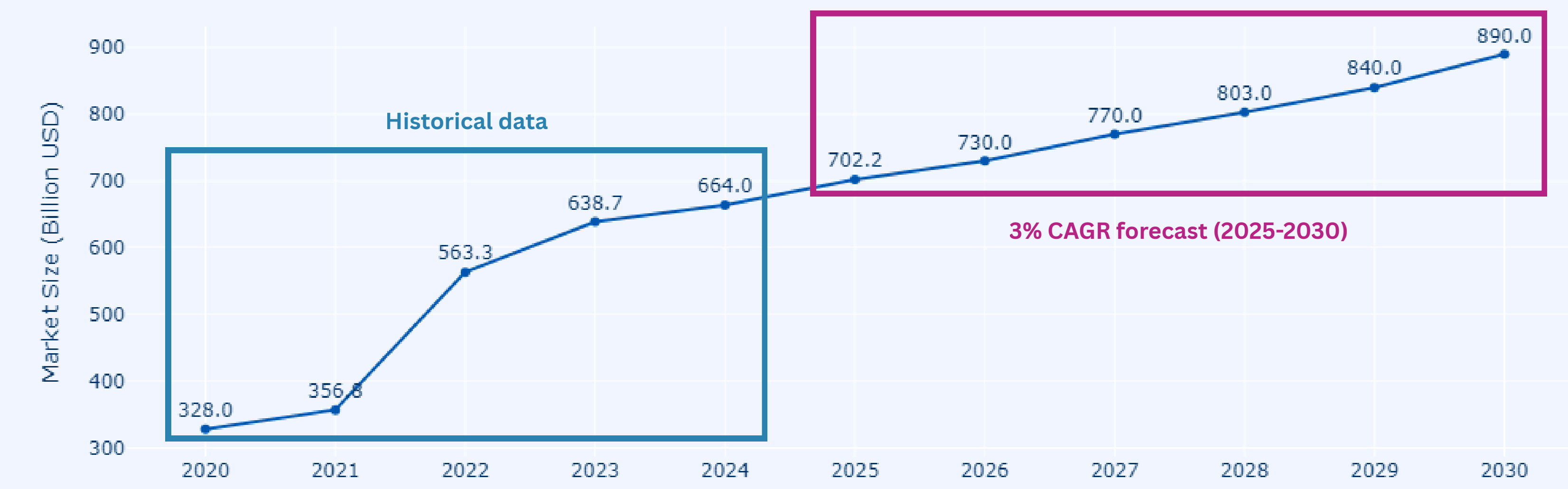
Aerospace Industry Landscape

Airbus market dominance secured, propelled by innovation & unmatched scale

Commercial Aircraft Market Share (2023)



Global Aircraft Market Size Forecast



2025–2030 projections are extrapolated based on a CAGR of 3%, considering factors such as increasing global travel demand, fleet expansions, and technological advancements in aviation.

Main competitors

Largest historical Airbus competitor, lost significant market share past 3 years due to quality control issues.

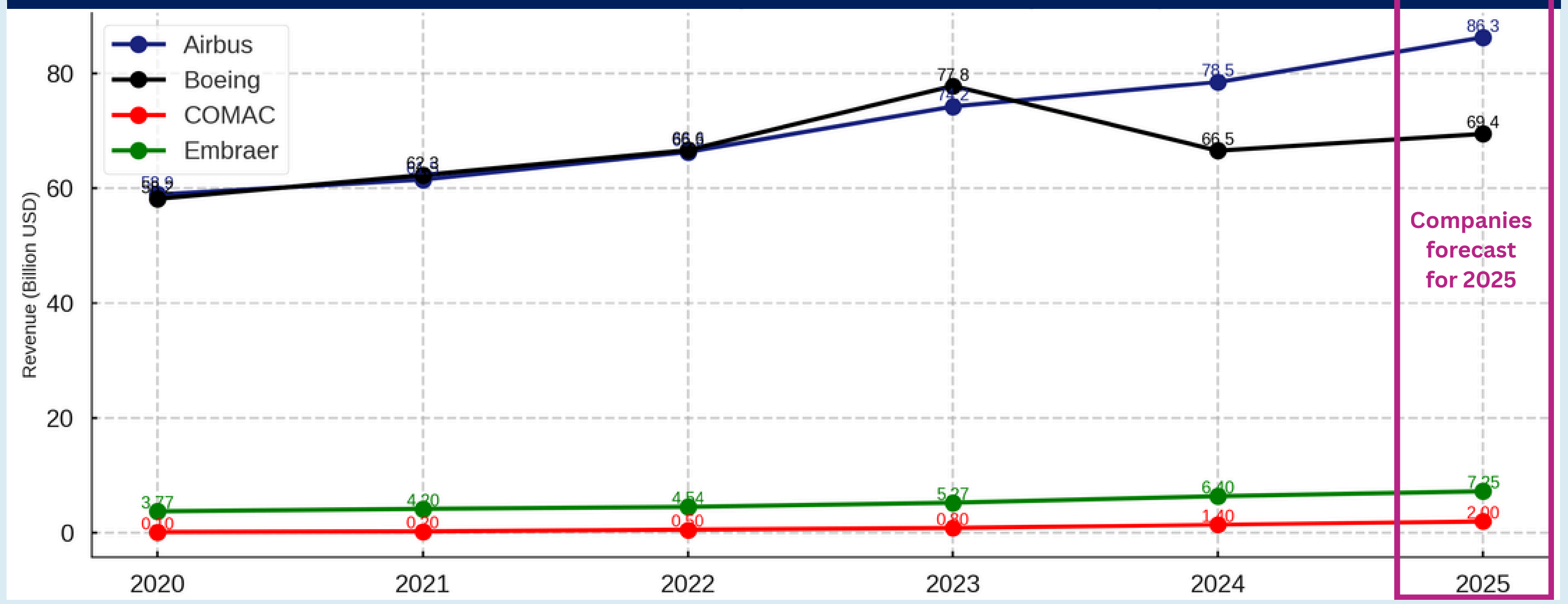
Aiming to challenge Airbus and Boeing with the C919. Dominates its **domestic market** and targets Southeast Asian markets.

Key player in **regional & business aviation** with its successful E-Jet series. No good-selling wide-body aircraft.

Exited wide commercial aircraft, transferring the CSeries program to Airbus, now rebranded as the A220.

These last 3 manufacturers remain **niche** compared to the Airbus-Boeing **duopoly**, but COMAC's progress, especially in the Asia-Pacific region, merits close attention.

Competitors sales comparison



Sources: Company website; Annual reports 2020-2024; Yahoo Finance; Investopedia

Competitive Advantage & Risk Assessment

Resilient model ready to navigate uncertainty, while continuing to innovate for sustainable development

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Strong Market Position: Airbus remains a global leader in commercial aircraft manufacturing with a record backlog of 8,658 aircraft as of end-2024, reflecting robust demand and customer trust.

Diversified Business Model: Operations span across aircraft, helicopters, drones, defence, communications and software contributing to revenue stability and resilience.

Technological Innovation: Airbus is actively developing next-generation aircraft, including hydrogen-powered models and advanced rotorcraft and unmanned systems.

Sustainability Leadership: Airbus is pioneering decarbonisation initiatives including SAF adoption, hydrogen propulsion, and lifecycle aircraft recycling facilities like the one in Chengdu.

Global Industrial Footprint: The company operates in multiple continents, enhancing supply chain agility and market reach.

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Supply Chain Vulnerabilities: Ongoing challenges with key suppliers, notably Spirit AeroSystems, are affecting ramp-up efforts for critical programs like A350 and A220.

High Dependence on Commercial Aircraft: Around 73% of Airbus' revenue is derived from commercial aircraft, exposing it to fluctuations in airline demand.

Product Development Delays: The timeline for the hydrogen-powered commercial aircraft has slipped beyond 2035, suggesting technological and ecosystem challenges.

Production Bottlenecks: While demand is strong, scaling production to meet this demand continues to face execution and logistical difficulties.

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Surging Global Air Travel: Airbus forecasts demand for 42,430 new aircraft over the next 20 years, driven by growing middle classes, especially in Asia.

Decarbonisation Trends: Leadership in SAF and hydrogen technologies positions Airbus to benefit from regulatory and market shifts toward greener aviation.

Aftermarket Services Growth: Expansion of customer services and lifecycle solutions presents a growing revenue stream beyond new aircraft sales.

European Defence Integration: Airbus benefits from EU-wide political willingness to consolidate defence spending and foster sovereign capabilities.

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Geopolitical Instability: Conflicts (e.g. Ukraine, Middle East), trade tensions, and closed airspaces present operational and economic risks.

Increasing Competition: The rise of COMAC and the resurgence of Boeing increase competitive pressure, especially in the single-aisle market.

Regulatory Pressure: Environmental regulations could increase operating and development costs, particularly if alternative fuel ecosystems develop slowly.

Economic Uncertainty: Inflation, interest rate fluctuations, and potential recessions could dampen airline investment in new aircraft.

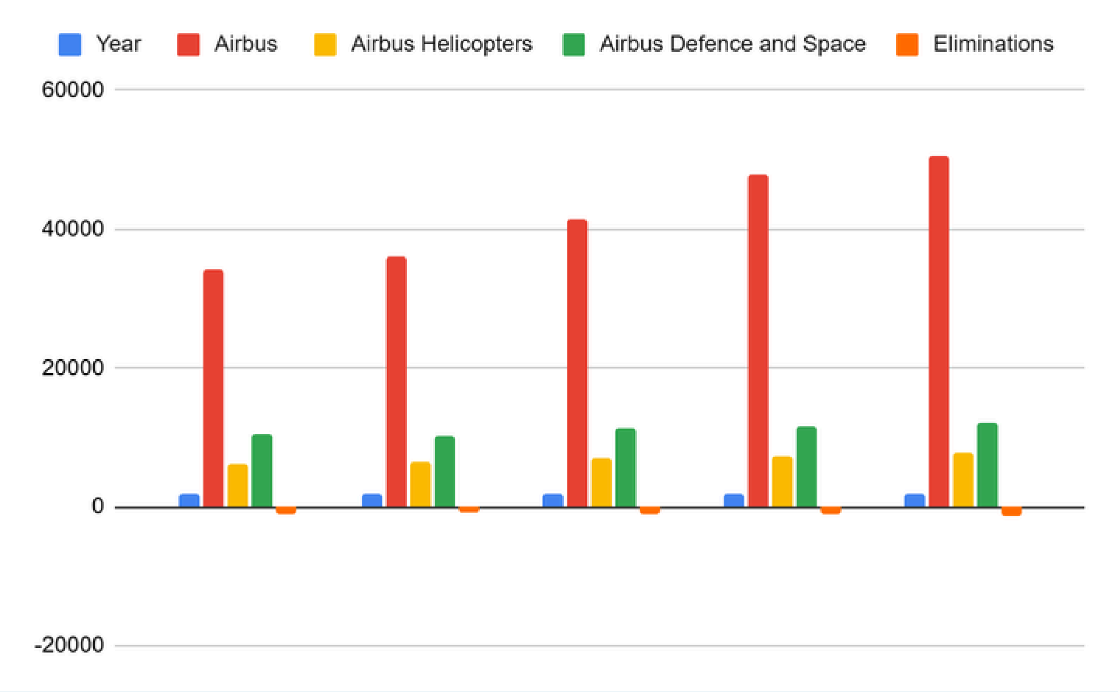
Sources: Company website; Annual report 2024

Sales trends

A globally diversified client base with aircraft commerce as the core business

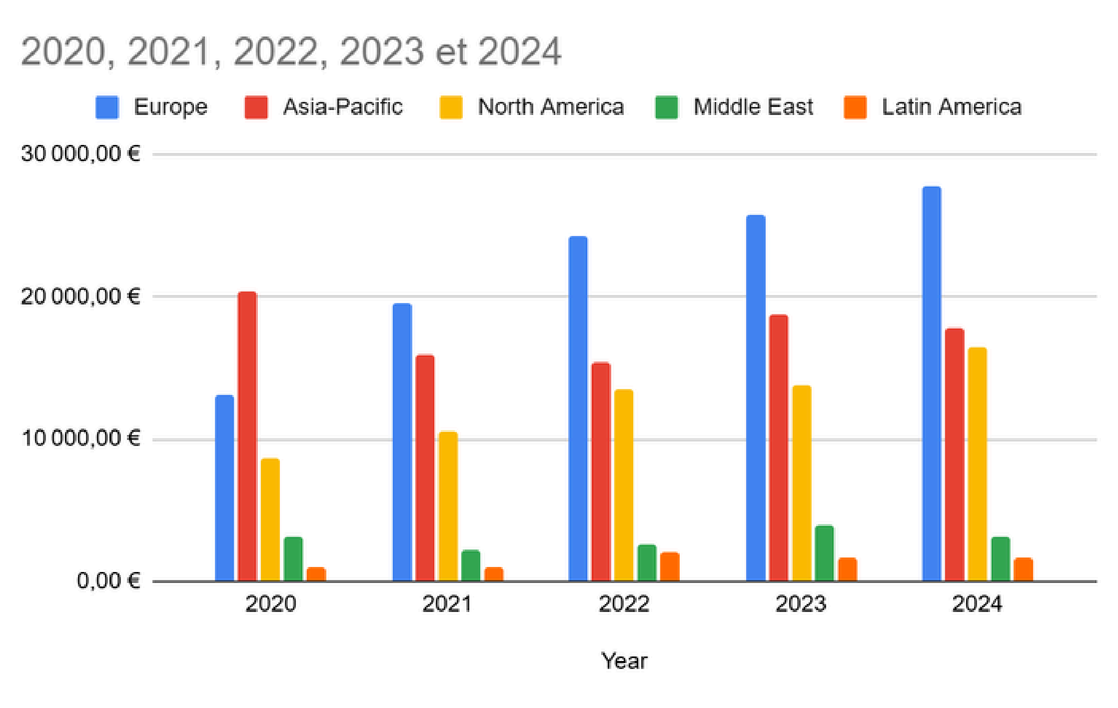
Revenues by segment (in millions)

Year	Total	Airbus	Airbus Helicopters	Airbus Defence and Space	Eliminations
2020	49 912,00 €	34 250,00 €	6 251,00 €	10 446,00 €	-1 035,00 €
2021	52 149,00 €	36 164,00 €	6 509,00 €	10 186,00 €	-710,00 €
2022	58 763 €	41 428 €	7 048 €	11 259 €	-972 €
2023	65 446 €	47 763 €	7 337 €	11 495 €	-1 149 €
2024	69 230 €	50 646 €	7 941 €	12 082 €	-1 439 €



Revenues by geographic zones (in millions)

Year	Total	Europe	Asia-Pacific	North America	Middle East	Latin America	Other countries
2020	49 912 €	13 087,00 €	20 325,00 €	8 688,00 €	3 123,00 €	983,00 €	3 706,00 €
2021	52 149 €	19 490,00 €	15 970,00 €	10 546,00 €	2 256,00 €	980,00 €	2 907,00 €
2022	58 763 €	24 261,00 €	15 380,00 €	13 549,00 €	2 598,00 €	2 086,00 €	889,00 €
2023	65 446 €	25 733,00 €	18 733,00 €	13 784,00 €	3 933,00 €	1 737,00 €	1 526,00 €
2024	69 230 €	27 804,00 €	17 769,00 €	16 430,00 €	3 101,00 €	1 723,00 €	2 403,00 €



Sources: Company website; Annual Financial statements

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Cash Flow Performance

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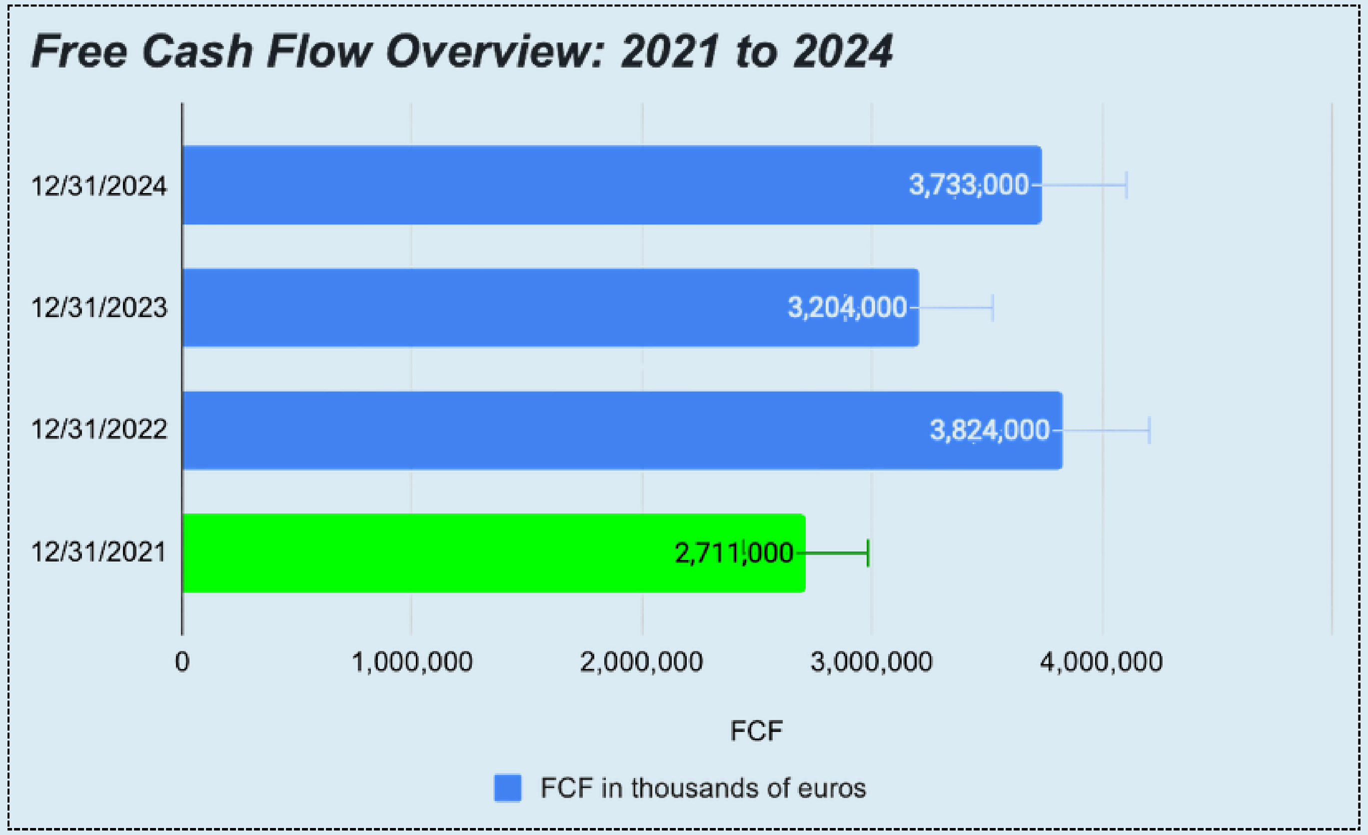
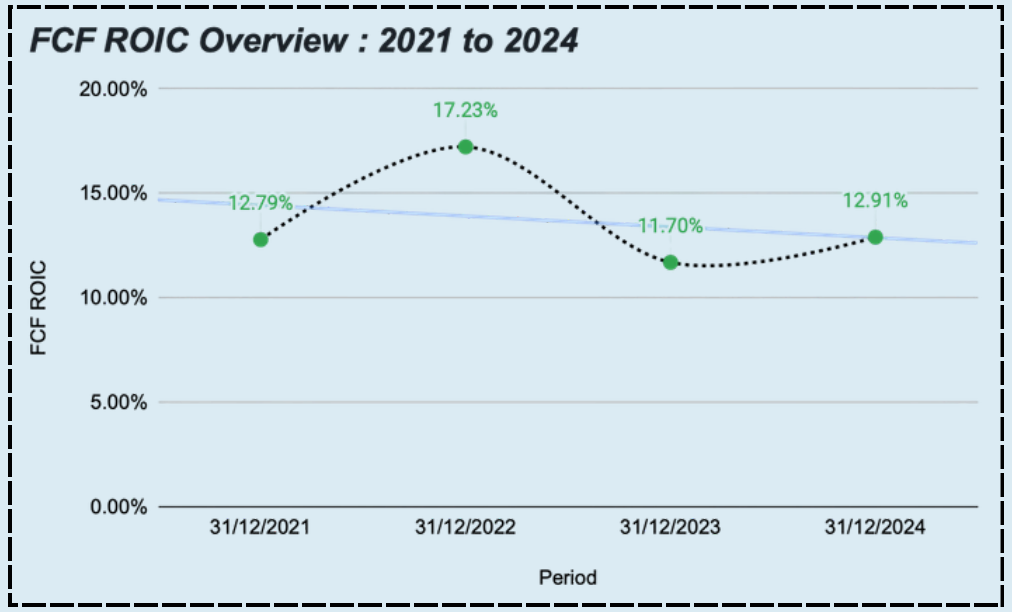


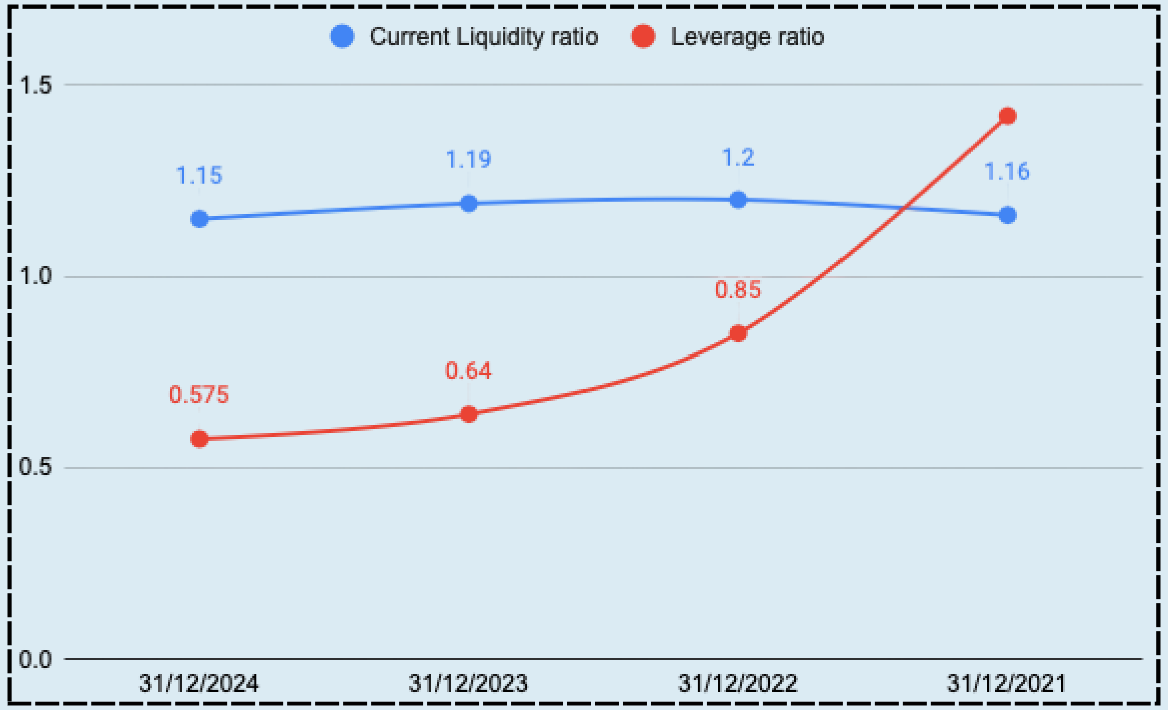


Airbus consistently generates strong returns on invested capital, with FCF ROIC reaching 17.23% in 2022 and maintaining a solid performance at 12.91% in 2024. This reflects **efficient cash generation and strategic capital management**, despite challenges in the supply chain and rising production costs.

Years	Free Cash Flow (FCF)	Invested Capital	FCF ROIC
31/12/2021	2 711 000	21 191 000	12.79%
31/12/2022	3 824 000	22 199 000	17.23%
31/12/2023	3 204 000	27 400 000	11.70%
31/12/2024	3 733 000	28 932 000	12.91%

Between 12/31/2021 and 12/31/2024, **Airbus's Free Cash Flow increased by 37.7%, driven by the post-COVID recovery**, ramp-up in deliveries, and effective financial management, despite temporary supply chain disruptions.

Current liquidity & leverage



Date	Current Assets (€k)	Current Liabilities (€k)	Total Debt (€k)	Equity (€k)	Current Liquidity ratio	Leverage ratio
31/12/2024	69,432,000	60,623,000	11,275,000	19,606,000	1.15	0.575
31/12/2023	64,001,000	53,750,000	11,322,000	17,695,000	1.19	0.64
31/12/2022	63,002,000	52,595,000	10,983,000	12,950,000	1.2	0.85

Airbus maintains solid liquidity with a current ratio consistently above 1.15, **ensuring it can meet short-term obligations with ease.** The steady decline in leverage, from 1.42 in 2021 to 0.58 in 2024, **reflects strengthened equity and reduced reliance on debt financing**

Sources: Company website; Annual reports 2020-2024

Gross Margins & Previsions

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Year	Revenues	Evolution rate	Cost of Sales	Evolution rate	Gross Margin	Evolution rate
2020	49 912 €		44 250,00 €		5 662,00 €	
2021	52 149 €	4,48%	42 518,00 €	-3,91%	9 631,00 €	70,10%
2022	58 763 €	12,68%	48 192,00 €	13,34%	10 571,00 €	9,76%
2023	65 446 €	11,37%	55 402,00 €	14,96%	10 044,00 €	-4,99%
2024	69 230 €	5,78%	58 555,00 €	5,69%	10 675,00 €	6,28%

	FCF	Taux d'évolution moyen	Revenues	Taux d'évolution moyen
2020			49 912 €	
2021	3733,00 €		52 149 €	4,48%
2022	3204,00 €	-14,17%	58 763 €	12,68%
2023	3 824,00 €	19,35%	65 446 €	11,37%
2024	2711,00 €	-29,11%	69 230 €	5,78%
2025	2 494,79 €	-7,98%	75 170 €	8,58%
2026	2 295,83 €	-7,98%	81 619 €	8,58%
2027	2112,73 €	-7,98%	88 622 €	8,58%

Average FCF evolution from 2021 to 2024: -7,98%

Average FCF evolution from 2020 to 2024: -8,58%

Gross Margin evolution:

- covid impact 2020 → 2021 huge gross margin evolution

Reasons for decreasing FCF:

- Supply Chain Disruptions and Delivery Delays: delivery targets downward from 800 to 770 aircraft for 2024
- Inventory Build-Up to Support Ramp-Up Plans (Airbus A320)
- Increased Capital Expenditures and Strategic Investments

Terminal value & WAAC

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Metric	Value
Pre-tax Cost of Debt	6.45%
Effective Tax Rate	25%
After-tax Cost of Debt	4.84%
Risk-free Rate (Eurozone)	2.50%
Equity Risk Premium (Geographical)	6.00%
Levered Beta	1.2
Cost of Equity	9.70%
Debt-to-Capital Ratio	39.90%
Equity-to-Capital Ratio	60.10%
WACC	**7.76%**

Date	Total Revenue	Revenue Growth
12/31/2024	69,230,000	5.78%
12/31/2023	65,446,000	N/A

Sensitivity Analysis

Terminal value

g \ WACC	7.16%	7.46%	7.76%	8.06%	8.36%
5.18%	188.5353535	163.7280702	144.6899225	129.6180556	117.3899371
5.48%	222.202381	188.5353535	163.7280702	144.6899225	129.6180556
5.78%	270.5072464	222.202381	188.5353535	163.7280702	144.6899225
6.08%	345.6481481	270.5072464	222.202381	188.5353535	163.7280702
6.38%	478.5897436	345.6481481	270.5072464	222.202381	188.5353535

Using the sensitivity table, Airbus's terminal **value ranges from €117.4bn to €478.6bn**, with the central scenario suggesting a valuation of **€188.5bn to €222.2bn based on the mid-range WACC and growth assumptions.**

Sources: Company website; Annual report 2024

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Peer Comparison & Valuation Benchmark

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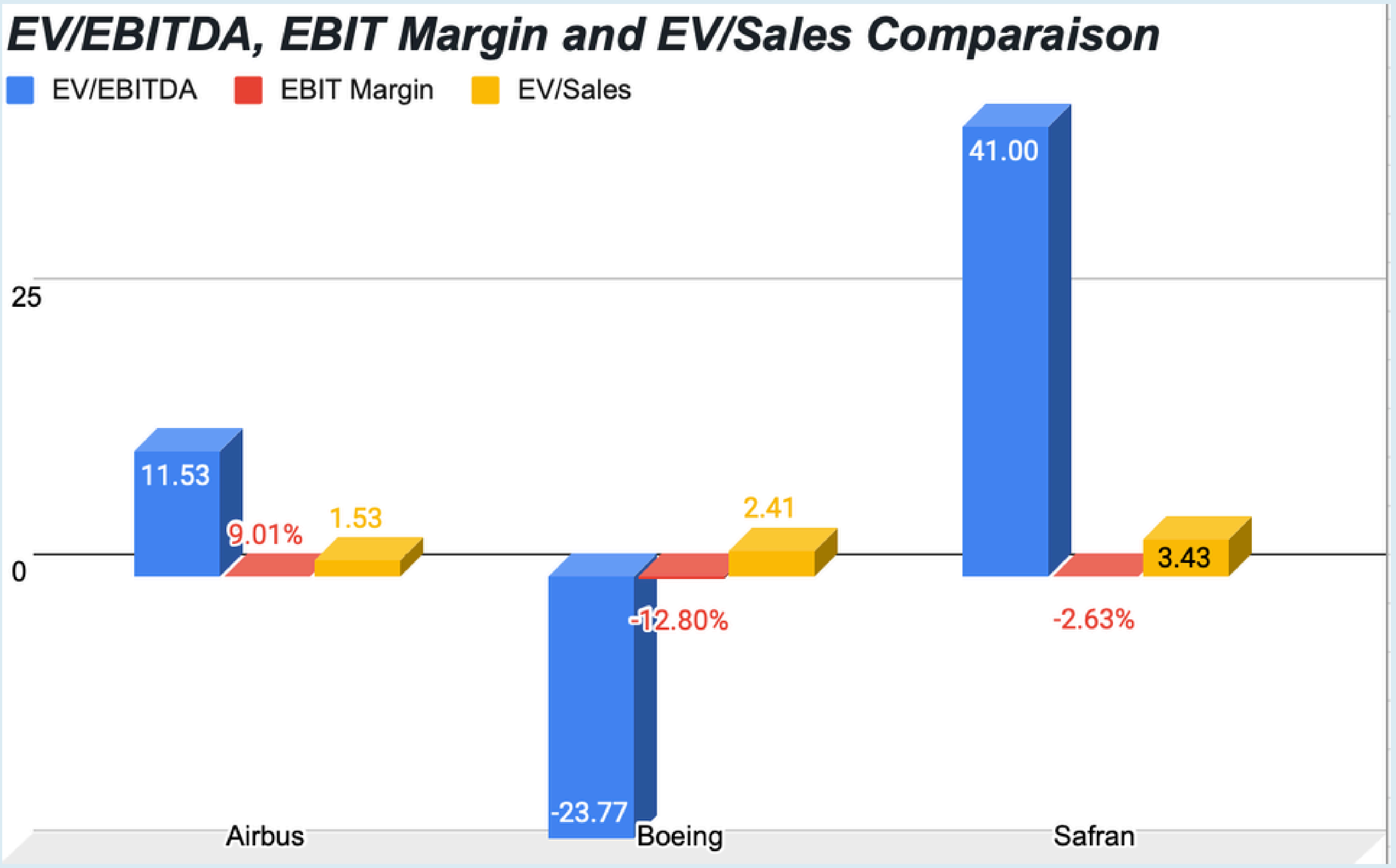
Metrics	Airbus	Boeing	Safran	Sector Average	Absolute Difference AB	Absolute Difference Boeing	Absolute Difference SAF
EV/EBITDA	11.53	-23.7741752	41	9	2.53	14.7741752	32
Marge EBIT	9.01%	-12.80%	-0.0263385	7.00%	2.01%	5.80%	0.096338577
EV/Sales	1.53	2.41	3.43	1.5	0.03	0.91	1.93



Key Takeaways

Airbus trades at sector-norm multiples with stable profitability, reflecting balanced market expectations.

Boeing shows distressed valuation (low EV/EBITDA) due to operational crises, but EV/Sales suggests recovery bets.

Safran is an outlier with ultra-high EV/EBITDA (23.77x) and negative margins likely due to non-recurring costs or aggressive growth pricing.

Sources: Company website; Annual report 2024

Investment Recommendation & Valuation Insights

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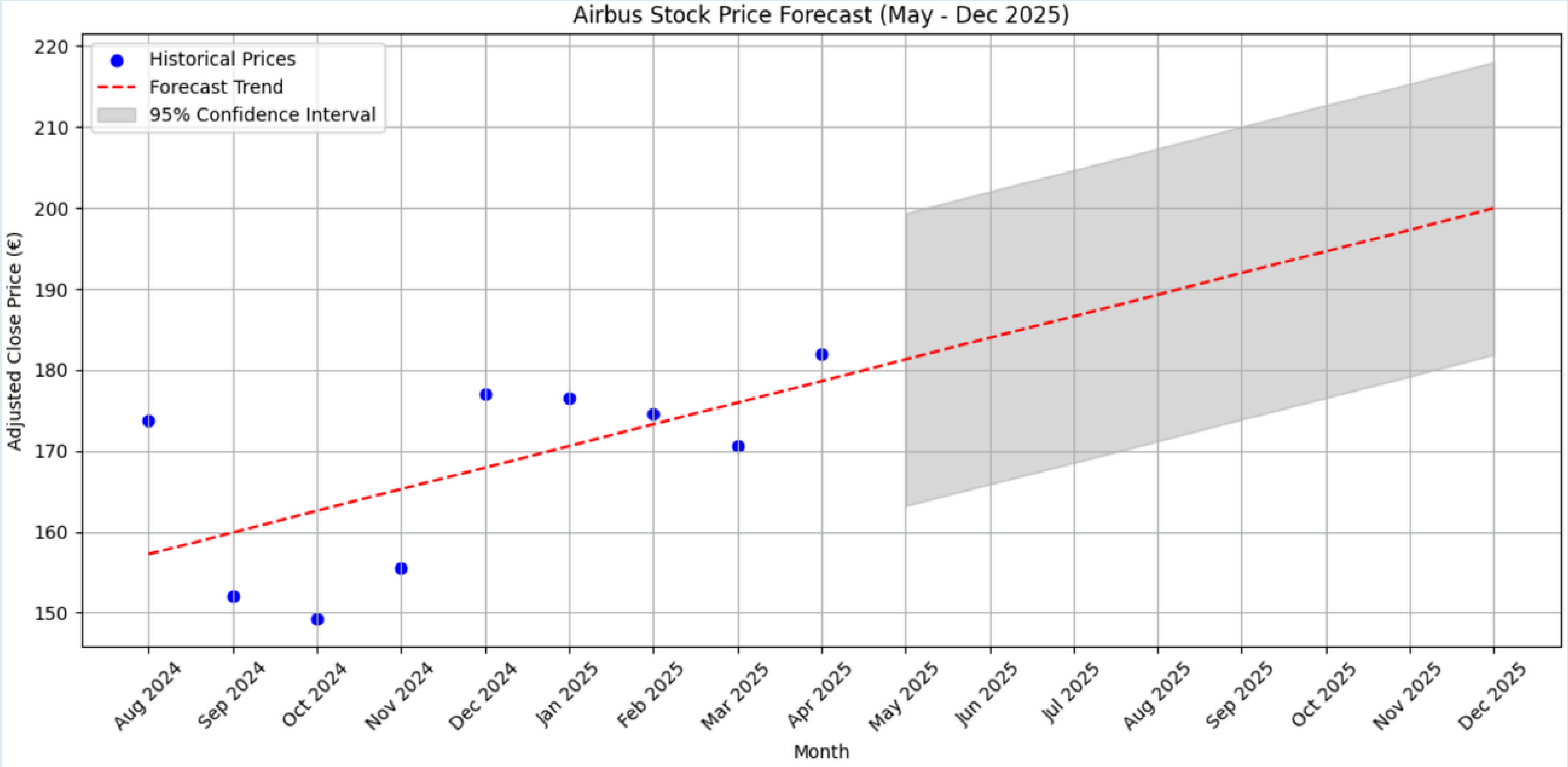

Recommendation: Buy now

Strengthened Arguments:

- Rising deliveries: A direct driver of financial performance and revenue growth.
- Record order backlog: Provides strong long-term visibility on future cash flows.
- Favorable macroeconomic environment: Institutional support for the aviation sector and increasing defense budgets across Europe.
- Upside potential: Current stock price remains below fair value estimates, indicating room for revaluation.

Key Observations from the Forecast Chart

Historical Trend (Aug 2024 – Apr 2025)

- Prices fluctuated between approximately €148 and €178.
- The overall trend is upward, albeit with short-term volatility.

Forecast Trend (May – Dec 2025)

- The red dashed line shows a moderate upward trajectory, suggesting gradual appreciation in stock value.
- Price forecast reaches ~€190 by Dec 2025.

Confidence Interval (95%)

- The grey shaded area indicates uncertainty.
- By Dec 2025, prices could range from around €175 to €210, indicating moderate to strong bullish potential.

Sources: Airbus financial reports, Bloomberg consensus estimates, IATA traffic forecasts